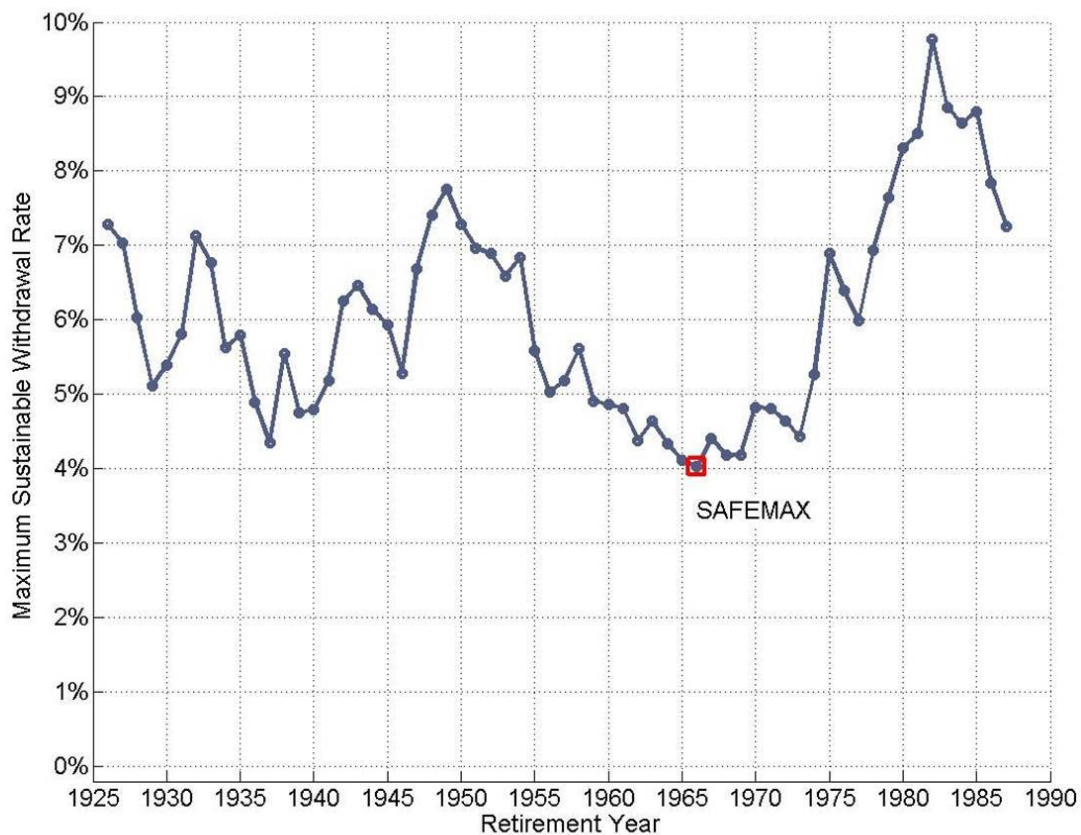




To bring greater realism to the discussion of safe withdrawal rates in retirement, he focused his attention on what he later called the “SAFEMAX”—the highest sustainable withdrawal rate for the worst-case retirement scenario in the historical period. With a 50/50 allocation for stocks and bonds, the SAFEMAX was 4.15 percent, and it occurred for a new hypothetical retiree in 1966 who experienced the 1966–1995 market returns. Searching for this “worst-case scenario” puts the focus on spending conservatively.

The highest sustainable withdrawal rate was only a little more than 4 percent in spite of the fact that from 1966 to 1995, a 50/50 portfolio provided a 4.7 percent average inflation-adjusted return. With this simple average, the compounded real growth rate for the portfolio in these thirty years was 4.2 percent after accounting for the impacts of volatility. If the portfolio could have grown at a fixed 4.2 percent for thirty years, someone withdrawing funds at the end of the year would have been able to use a sustainable